

Enterprise Quantitative Financial Intelligence & Stress Report: Larsen & Toubro Ltd (LT)

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Core Metrics

Metric	Value
Latest Revenue	■285,874.36 Cr
P/E Ratio	15.0x
PEG Ratio	1.03
P/B Ratio	2.5x
EV / EBITDA	10.67x
Cash Conversion Cycle	60.0 Days
Net Profit Margin	12.24%
Return on Equity (ROE)	16.67%
Return on Capital Employed	17.33%
Latest Free Cash Flow	■21,840.00 Cr
Altman Z-Score	9.38 (Safe Zone (Low Bankruptcy Risk))
WACC (%)	13.09%
Cost of Equity (CAPM)	13.72%
Value at Risk (VaR 95%)	■44,875.27 Cr
Cobb-Douglas RTS	1.05 (Alpha: 0.598, Beta: 0.449)
Operating Leverage	1.43x
Break-Even Sales	■59,428.57 Cr

1. Differential Quantitative Summary & Solvency

Executive solvency analysis indicates an Altman Z-Score of 9.38 categorized under 'Safe Zone (Low Bankruptcy Risk)'. Capital structure optimized with a WACC of 13.09% against a CAPM Cost of Equity of 13.72%.

2. Advanced Econometric Production Functions

Using the Cobb-Douglas production model ($Y = A * L^{\alpha} * K^{\beta}$), the firm exhibits a Returns to Scale factor of 1.05, proving stable scaling capacity relative to labour (0.598) and capital (0.449) inputs.

DCF Valuation (FCFF)

At a WACC of 13.09% and terminal growth of 4.0%, the 5-year FCFF DCF implies an Enterprise Value of ■312,303.07 Cr, of which 68.4% is attributable to the terminal value — a useful check on how much of the valuation rests on assumptions beyond the explicit forecast window.

Year	Revenue	EBITDA	FCFF	PV(FCFF)
1	314,462	56,603	23,585	20,855
2	345,908	62,263	25,943	20,285
3	380,499	68,490	28,537	19,731
4	418,549	75,339	31,391	19,192
5	460,404	82,873	34,530	18,667

Item	Value
Enterprise Value	■312,303.07 Cr
Less: Total Debt	■45,000.00 Cr
Plus: Cash	■15,000.00 Cr
Equity Value	■282,303.07 Cr

Leveraged Buyout Model

Entering at 10.0x EBITDA (■520,000.00 Cr EV) with 5.5x leverage and exiting after 5 years at 10.0x EBITDA implies a 2.35x MOIC and approximately 18.6% IRR for the sponsor, assuming 8.0% annual EBITDA growth and the modelled debt paydown.

Year	EBITDA	Opening Debt	Closing Debt	Leverage (x)
1	56,160	286,000	272,753	4.86
2	60,653	272,753	256,888	4.24
3	65,505	256,888	238,126	3.64
4	70,745	238,126	216,161	3.06
5	76,405	216,161	190,661	2.5

Item	Value
Sponsor Equity Invested	■244,400.00 Cr
Exit Equity Value	■573,389.58 Cr
MOIC	2.35x
IRR	18.6%

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